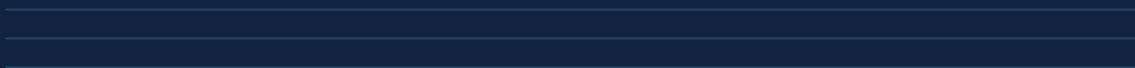


A PRACTICAL TRADER'S GUIDE

TRADING RISK MANAGEMENT

The Complete Framework for Protecting Capital,
Sizing Positions, and Trading with Discipline



Foundations · Position Sizing · Stop Losses · Portfolio Risk · Trading Psychology

Includes worksheets and templates for building your own risk management plan

Contents

PART ONE — FOUNDATIONS

Introduction: Why Most Traders Fail	1
Chapter 1: What Risk Actually Means	3
Chapter 2: The Many Faces of Risk	6

PART TWO — THE CORE TOOLKIT

Chapter 3: Position Sizing	10
Chapter 4: Stop-Loss Strategy	14
Chapter 5: Risk-Reward Ratio	17
Chapter 6: Portfolio Risk & Correlation	20
Chapter 7: Drawdown & Risk of Ruin	23

PART THREE — PUTTING IT INTO PRACTICE

Chapter 8: Trading Psychology & Discipline	26
Chapter 9: Building Your Risk Management Plan	29
Chapter 10: Common Mistakes to Avoid	32
Closing: Your Next Trade	34
Appendix: Worksheets & Templates	35

INTRODUCTION

Why Most Traders Fail

Ask ten traders what separates the ones who last from the ones who blow up their accounts, and most will talk about strategy: the perfect entry signal, the right indicator combination, the ideal timeframe. Almost none of them will lead with risk management. Yet risk management, not strategy, is the single largest determinant of whether a trader is still trading five years from now.

This is not an exaggeration. A mediocre strategy with disciplined risk control can survive losing streaks, market shocks, and long stretches of underperformance. A brilliant strategy with no risk control eventually meets a single trade, a single news event, or a single moment of overconfidence that erases months or years of gains. The market does not reward being right. It rewards staying in the game long enough for being right to matter.

The Core Idea of This Book

You cannot control whether a trade wins or loses. You can control how much you risk, how you size positions, and how you respond when things go wrong. Risk management is the only part of trading you fully control — which is exactly why it deserves more attention than the search for a perfect entry.

This book is built around a simple premise: risk management is not a topic you study once and file away. It is a set of habits, rules, and calculations that you apply to every single trade, every single day, for as long as you trade. By the time you finish this book, you will not just understand the theory behind position sizing, stop losses, and portfolio risk — you will have the worksheets and templates to put every concept into practice immediately.

How This Book Is Structured

- **Part One — Foundations** builds a working vocabulary of risk: what it is, where it comes from, and why it behaves differently than most new traders expect.
- **Part Two — The Core Toolkit** covers the specific, calculable tools every trader needs: position sizing, stop-loss placement, risk-reward ratio, correlation, and drawdown mathematics.
- **Part Three — Putting It Into Practice** connects the numbers to behavior, and ends with a step-by-step framework and worksheets for building your own personal risk management plan.

You do not need to be an advanced trader to use this book. The math is kept deliberately simple — arithmetic, not calculus — because the goal is not to impress you with complexity. The goal is for you to close this book and immediately know your position size on your next trade, your maximum acceptable loss, and the rule you will follow when a trade goes against you.

Chapter 1: What Risk Actually Means

In everyday language, "risk" means danger — something to be minimized or avoided. In trading, this framing causes real damage, because it leads new traders to treat risk as the enemy rather than as a tool. Risk is not something you eliminate. It is something you define, size, and accept in exchange for the possibility of a return. The trader's job is not to avoid risk, but to control exactly how much of it they are exposed to at any given moment.

Risk Is a Decision, Not an Accident

Every position you open carries a defined amount of risk the moment you open it, whether or not you have consciously calculated it. If you buy 500 shares without deciding in advance where you will exit if the trade goes wrong, you have not avoided defining your risk — you have simply outsourced that decision to panic, hope, or whatever price the market happens to hit before you finally act. Risk management begins with a simple shift: deciding your risk before you enter the trade, not after.

The Two Numbers That Define Every Trade

Before entering any trade, a disciplined trader can answer two questions without hesitation:

- **How much am I willing to lose if this trade goes wrong?** This is your risk, expressed in dollars or as a percentage of your account.
- **How much am I aiming to gain if this trade goes right?** This is your reward, and the ratio between the two defines whether the trade is worth taking in the first place.

Everything else in this book — position sizing, stop placement, risk-reward ratios — is simply the mechanics of answering these two questions consistently, trade after trade, without the answer changing based on emotion, recent results, or conviction.

Risk Capital vs. Total Capital

A critical early distinction is the difference between your total capital and your risk capital. Total capital is everything in your trading account. Risk capital is the portion you have consciously decided you can afford to lose across your trading activity without it affecting your financial stability, obligations, or wellbeing. Trading with money that is not genuinely risk capital — rent money, emergency savings, borrowed funds — introduces emotional pressure that makes rational risk management nearly impossible, regardless of how well you understand the math in this book.

Rule of Thumb

If losing the money in your trading account would change how you sleep at night, it is not risk capital. Reduce your position sizes, or reduce your account size, until the numbers stop keeping you up.

Why This Chapter Comes First

It would be easy to skip straight to formulas: position sizing calculations, stop-loss percentages, risk-reward ratios. But every formula in this book depends on an honest answer to a question that has nothing to do with math: how much are you actually willing to lose? Get that answer wrong — set it too high out of overconfidence, or leave it undefined out of avoidance — and every calculation that follows will be built on a flawed foundation.

Chapter 2: The Many Faces of Risk

New traders tend to think of risk as a single thing: the chance that a trade loses money. In practice, risk shows up in several distinct forms, and a trader who only manages one of them remains exposed to the others. This chapter walks through the categories of risk every trader needs to recognize.

Market Risk

The risk that the price of an asset moves against your position due to normal market forces — supply and demand, economic data, sentiment shifts. This is the risk most traders think about by default, and the one that position sizing and stop losses are primarily designed to control.

Liquidity Risk

The risk that you cannot exit a position at or near the price you expect, because there are not enough buyers or sellers at that moment. Liquidity risk is highest in thinly traded assets, during major news events, and outside of regular market hours. A stop-loss order is only as reliable as the liquidity available to fill it.

Leverage Risk

Leverage multiplies both gains and losses relative to the capital you put up. A 10:1 leveraged position that moves 10% against you does not cost you 10% of your capital — it can cost you all of it. Leverage does not create risk on its own, but it dramatically amplifies the consequences of poor position sizing, which is why leveraged instruments demand tighter risk controls, not looser ones.

Correlation Risk

The risk that positions you believed were diversified are actually moving together, so that a single market event affects your entire portfolio at once. This is covered in depth in Chapter 6, but it is worth naming early: many traders believe they are diversified simply because they hold multiple positions, without checking whether those positions are correlated.

Psychological Risk

The risk introduced by the trader's own behavior: revenge trading after a loss, abandoning a stop loss because "it will come back," increasing position size after a winning streak out of overconfidence. Psychological risk is the hardest to quantify and, for most traders, the most damaging over the long run. Chapter 8 is dedicated entirely to this category.

Systemic and Event Risk

The risk of sudden, market-wide shocks — a central bank surprise, a geopolitical event, a flash crash. These events are, by definition, difficult to predict. Risk management does not aim to predict them; it aims to ensure that when they happen, no single event can end your trading career.

Risk Type	Primary Defense
-----------	-----------------

Market Risk	Position sizing, stop-loss placement
Liquidity Risk	Trading liquid instruments, avoiding illiquid hours
Leverage Risk	Conservative leverage, smaller position sizes
Correlation Risk	Checking correlation before adding positions
Psychological Risk	Written trading rules, pre-defined exits
Systemic Risk	Diversification, capping total portfolio exposure

Table 2.1 — A quick-reference map of risk categories and their primary defenses.

Chapter 3: Position Sizing

If this book could only teach you one skill, it would be position sizing. Position sizing answers the question: how many shares, contracts, or units should I trade, given how much I am willing to lose and where my stop loss sits? Get this one calculation right, consistently, and it becomes almost mathematically difficult to blow up an account on a single trade.

The Fixed Percentage Method

The most widely used approach is to risk a fixed, small percentage of your account on every trade — commonly between 0.5% and 2%. The percentage stays constant; the position size adjusts automatically as your account grows or shrinks. This single habit is what separates traders who survive long losing streaks from those who do not.

The Formula

Position size is calculated in three steps: determine your dollar risk (account size $\times$ risk %), determine your stop distance (entry price – stop price), and divide the two.

Position Sizing in Three Steps

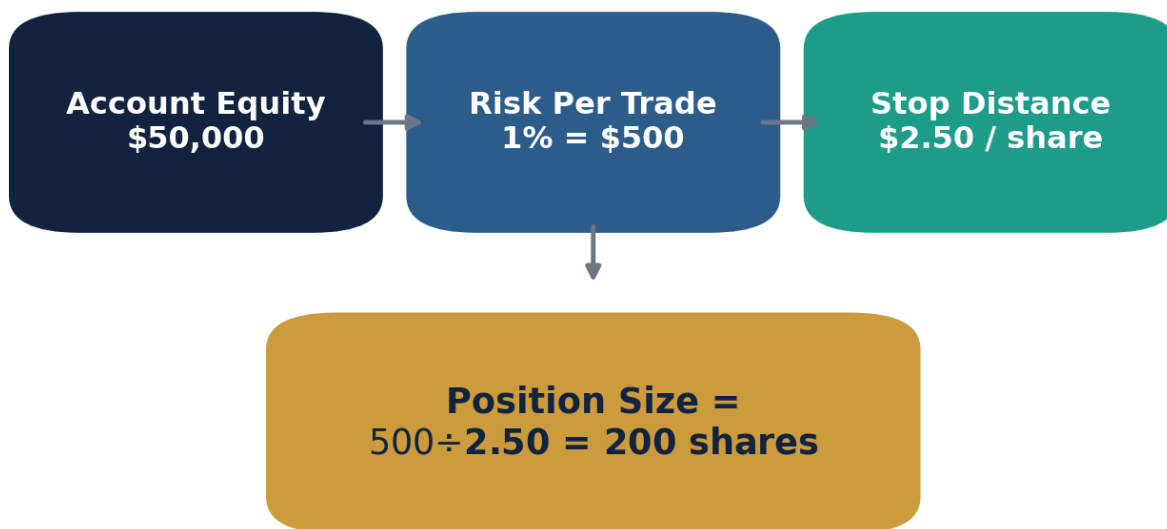


Figure 3.1 — Position sizing in three steps: equity, risk percentage, and stop distance combine to determine share count.

In the example above, a \$50,000 account risking 1% per trade (\$500) with a stop 2.50 dollars away from entry produces a position size of exactly 200 shares. Notice that the position size has nothing to do with conviction, gut feeling, or how confident the trader feels — it is a mechanical output of three inputs.

Why Position Sizing Matters More Than Entry Timing

Two traders can take the identical trade — same entry, same stop, same target — and have wildly different outcomes purely based on position size. A trader who risks 1% per trade can be wrong ten times in a row and still have roughly 90% of their account intact. A trader who risks 10% per trade can be wiped out by a single bad losing streak of the same length. The entry signal was identical in both cases; the survival outcome was not.

Common Mistake

Many new traders size positions based on how much they want to make, working backward from a profit target. Correct position sizing works in the opposite direction: start from how much you are willing to lose, and let the position size — and therefore the potential profit — follow from that.

Adjusting Risk Percentage to Account Size and Experience

- **New traders** should generally risk 0.5%–1% per trade while they are still building a track record and refining their process.
- **Experienced traders** with a proven, tested strategy may risk up to 2% per trade, though few professional risk managers recommend going higher on a sustained basis.
- **Smaller accounts** sometimes need slightly higher percentages to make position sizes practically tradable, but this should never come at the cost of abandoning a hard stop loss.
- **Volatile instruments** (small-cap stocks, leveraged ETFs, certain cryptocurrencies) warrant sizing at the lower end of your range, since wider natural price swings require wider stops for the same trade to remain valid.

Chapter 4: Stop-Loss Strategy

A stop loss is a predetermined price at which you exit a losing trade, set before emotion has a chance to interfere. It is the mechanism that turns "how much am I willing to lose" from an abstract number into an enforced reality. Without a stop loss, position sizing calculations are theoretical — the account can still lose far more than intended if the trader hesitates, hopes, or freezes.

Where to Place a Stop Loss

A common beginner error is placing stops based on a dollar amount the trader is comfortable losing, without regard to where the price is actually likely to go. This produces stops that sit in the middle of normal price noise, guaranteeing they get triggered by ordinary volatility rather than a genuine change in the trade's premise. Effective stop placement instead starts with the chart: identify the price level at which the original reason for the trade is no longer valid, and place the stop just beyond it.

- **Structural stops** sit beyond a recent swing high or low, support or resistance level, or trendline — points where a break genuinely invalidates the setup.
- **Volatility-based stops** use a multiple of average price movement (such as the Average True Range) so the stop naturally widens or tightens with current market conditions.
- **Time-based stops** exit a trade if it has not moved favorably within an expected timeframe, even if the price stop has not been hit — useful for strategies where a stagnant trade signals the thesis was wrong.

Once the stop level is chosen based on the chart, position sizing (Chapter 3) determines how many shares or contracts to trade — never the other way around.

Hard Stops vs. Mental Stops

A hard stop is an actual order placed with your broker, executed automatically regardless of what you are doing at that moment. A mental stop relies on the trader watching the price and manually exiting when it is hit. Mental stops fail exactly when they matter most: during fast-moving, emotionally charged conditions, when the temptation to "give it a bit more room" is strongest. Hard stops remove that decision from the moment of maximum stress.

Rule of Thumb

If you find yourself moving a stop loss further away after the trade has already gone against you, you are not managing risk — you are negotiating with the market. The only time to move a stop is in the direction of reducing risk, such as trailing it up behind a winning trade.

Trailing Stops

A trailing stop moves in the direction of a favorable trade, locking in gains as the position moves in your favor while still giving it room to continue. Trailing stops solve a different problem than initial stops: they are not about limiting the size of a loss, but about protecting profit that has already been earned without prematurely capping the trade's upside.

Chapter 5: Risk-Reward Ratio

The risk-reward ratio compares how much you stand to lose if a trade fails against how much you stand to gain if it succeeds. A trade risking \$100 to make \$300 has a risk-reward ratio of 1:3. This single number has an outsized effect on how good a trader's win rate needs to be in order to be profitable over time.

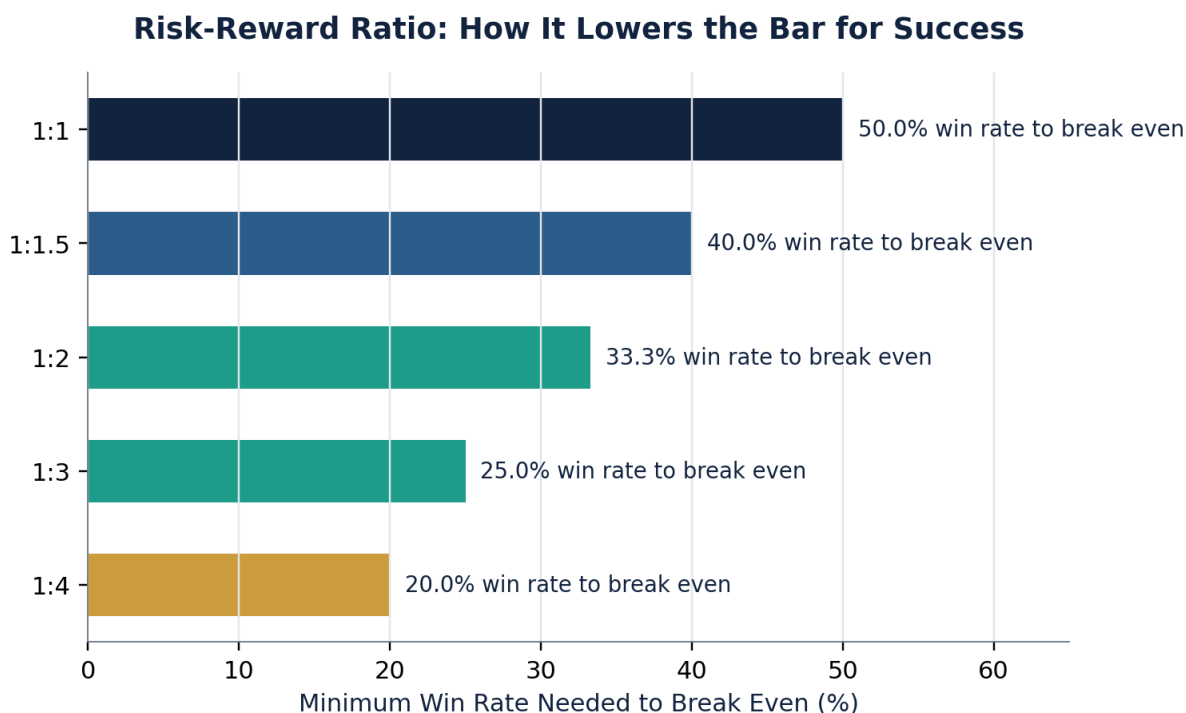


Figure 5.1 — As the risk-reward ratio improves, the win rate required to break even drops sharply.

At a 1:1 ratio, a trader needs to win more than 50% of trades just to break even before costs. At a 1:3 ratio, the same trader can be profitable while being wrong nearly 75% of the time. This is why professional traders often care less about win rate than retail traders assume — a strategy that wins 35% of the time can be highly profitable if its average winner is meaningfully larger than its average loser.

The Break-Even Win Rate Formula

Break-even win rate = $\text{Risk} \div (\text{Risk} + \text{Reward})$. For a 1:2 risk-reward trade, that is $1 \div (1 + 2) = 33.3\%$. Any win rate above that threshold, sustained across enough trades, produces a profitable system — before accounting for commissions and slippage, which raise the true threshold slightly.

Risk-Reward Is Not Everything

A favorable risk-reward ratio does not guarantee profitability if the win rate is unrealistically low for the strategy being used, and setting profit targets artificially far away just to improve the ratio on paper can

reduce the actual probability of the trade reaching that target at all. The ratio and the win rate are connected — improving one on paper without honestly assessing the other produces a misleading picture of a strategy's edge.

Practical Guideline

Many consistently profitable discretionary traders aim for a minimum risk-reward ratio of 1:2 on setups they take, which provides a meaningful margin of error even with a win rate below 50%. Treat this as a floor to evaluate trades against, not a guarantee of results.

Tracking Your Real Risk-Reward Ratio

Most traders overestimate their actual risk-reward ratio because they remember their best trades more vividly than their average ones. The only reliable way to know your true ratio is to log every trade — planned risk, planned reward, and actual outcome — and review the average across dozens of trades, not a handful of memorable ones. Chapter 9 includes a worksheet for building this log.

Chapter 6: Portfolio Risk & Correlation

Position sizing and stop losses manage the risk of a single trade. But a trader holding multiple positions at once faces a different question: how much risk is the entire portfolio carrying right now, and are these positions actually independent of one another?

The Illusion of Diversification

Holding five different positions feels diversified. But if all five are technology stocks, or all five are long positions in a single sector, they are likely to move together during a market-wide event. True diversification depends on correlation — the degree to which two assets' prices move in relation to each other — not simply on the number of positions held.

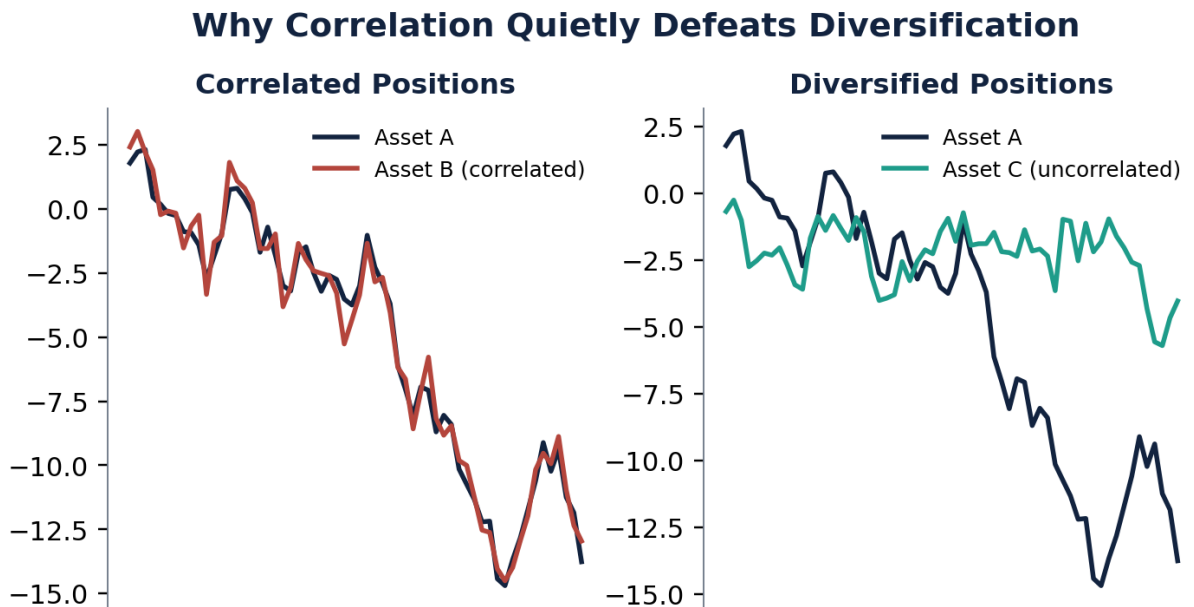


Figure 6.1 — Correlated positions move together and amplify risk in the same direction; genuinely diversified positions do not.

When correlated positions are each sized as though they were independent, the trader's real portfolio risk is significantly higher than the sum of the individual position risks suggests, because a single adverse move can trigger multiple stop losses simultaneously.

Managing Total Portfolio Exposure

- **Cap total risk across correlated positions.** If several positions are likely to move together, treat them as a single combined position for risk purposes, not as separate 1% risks that happen to add up to 4% or 5%.

- **Track sector and asset-class concentration.** Even without formal correlation data, simply noting how many open positions share a sector, currency, or macro driver reveals hidden concentration.
- **Set a maximum total open risk.** Many disciplined traders cap total risk across all open positions at 5%–6% of the account, regardless of how many individual trades are open.
- **Reassess correlation during volatile periods.** Correlations tend to rise during market stress — assets that normally move independently often fall together during a broad sell-off.

Rule of Thumb

If a single piece of news could plausibly move all of your open positions in the same direction at the same time, you are not diversified — you are concentrated, regardless of how many tickers are on your screen.

Chapter 7: Drawdown & Risk of Ruin

Drawdown is the decline from an account's peak value to a subsequent low point, and it is one of the most psychologically underestimated concepts in trading. The math of losses is asymmetric: a loss requires a proportionally larger gain to recover from, and that asymmetry accelerates sharply as losses grow.

The Asymmetry of Losses: Why Capital Preservation Comes First

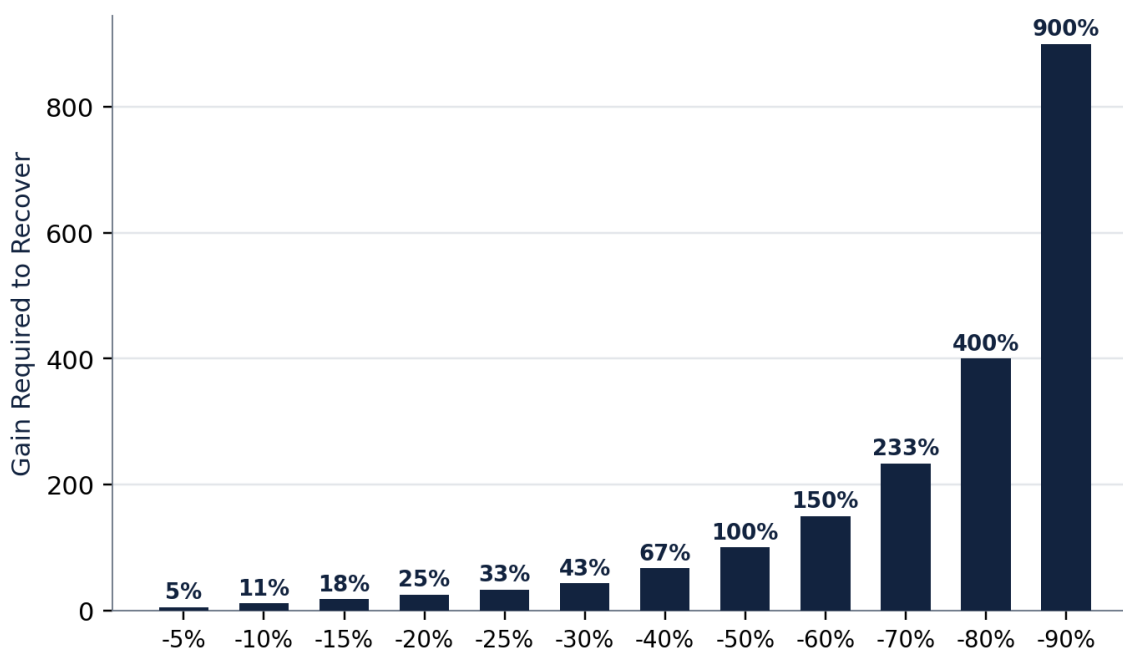


Figure 7.1 — The gain required to recover from a loss grows non-linearly. A 50% loss requires a 100% gain to recover.

A 10% loss requires an 11% gain to recover — manageable. A 50% loss requires a 100% gain just to return to break-even — a very different task. This is the core mathematical justification for keeping individual trade risk and total portfolio risk small: the goal is never to have to claw back from a deep hole in the first place.

Risk of Ruin

Risk of ruin describes the probability that a trader, given their win rate, risk-reward ratio, and risk per trade, eventually loses their account entirely (or is reduced to a level from which recovery is impractical). Even a strategy with a genuine long-term edge can have a meaningful risk of ruin if the trader risks too much per trade — a losing streak that is statistically inevitable over enough trades can end the account before the long-term edge has a chance to play out.

Why Risk Per Trade Matters: The Ruin Curve

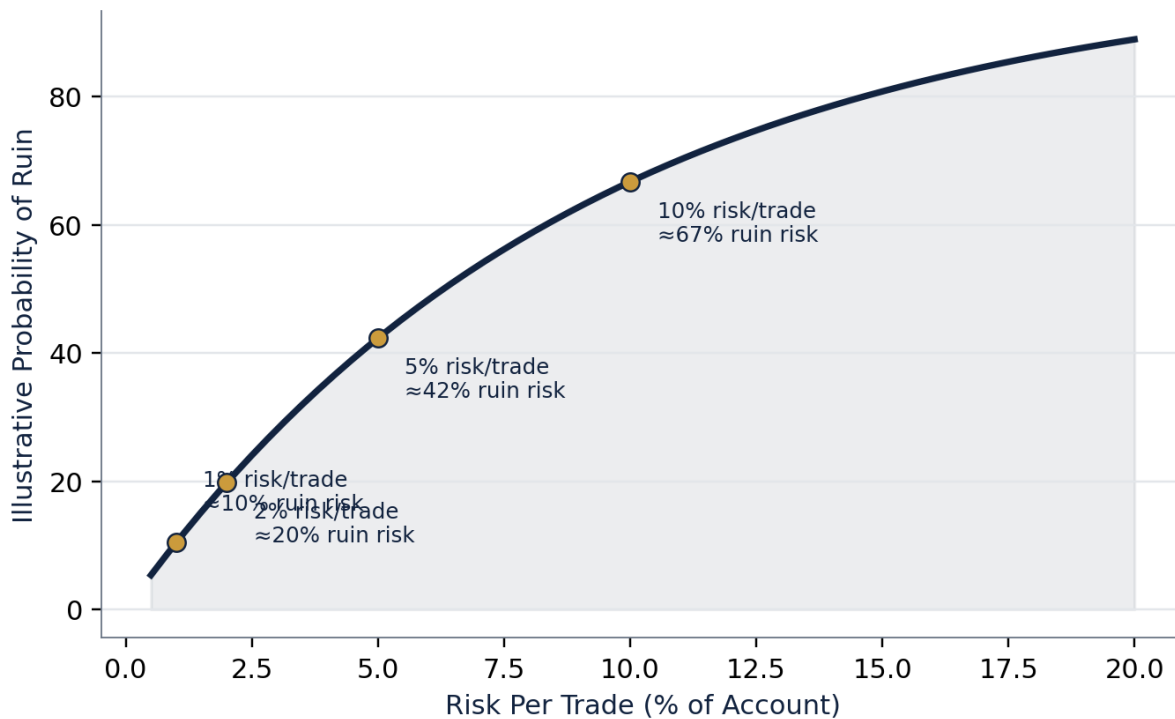


Figure 7.2 — Illustrative relationship between risk per trade and probability of account ruin over a large number of trades.

This is precisely why the fixed-percentage position sizing from Chapter 3 matters so much: at 1% risk per trade, it takes an extraordinarily long losing streak to meaningfully threaten an account. At 10% or 20% risk per trade, a losing streak well within the range of normal statistical variation can end it.

Maximum Drawdown Rules

Many disciplined traders set a maximum drawdown threshold — a percentage decline from their account peak — at which they stop trading, reduce position size significantly, or step back to review their process before continuing. This is not a sign of a failed strategy; it is a circuit breaker that prevents a bad stretch from becoming a catastrophic one.

Example Circuit Breaker Rule

If the account draws down 10% from its most recent peak, cut position size in half until a new peak is reached. If it draws down 20%, stop trading entirely and review the last twenty trades before resuming.

Chapter 8: Trading Psychology & Discipline

Every concept in this book so far has been a calculation: a formula, a ratio, a percentage. But risk management fails most often not because the math was wrong, but because the trader did not follow it under pressure. This chapter addresses the behavioral side of risk — the patterns that cause disciplined traders to abandon their own rules.

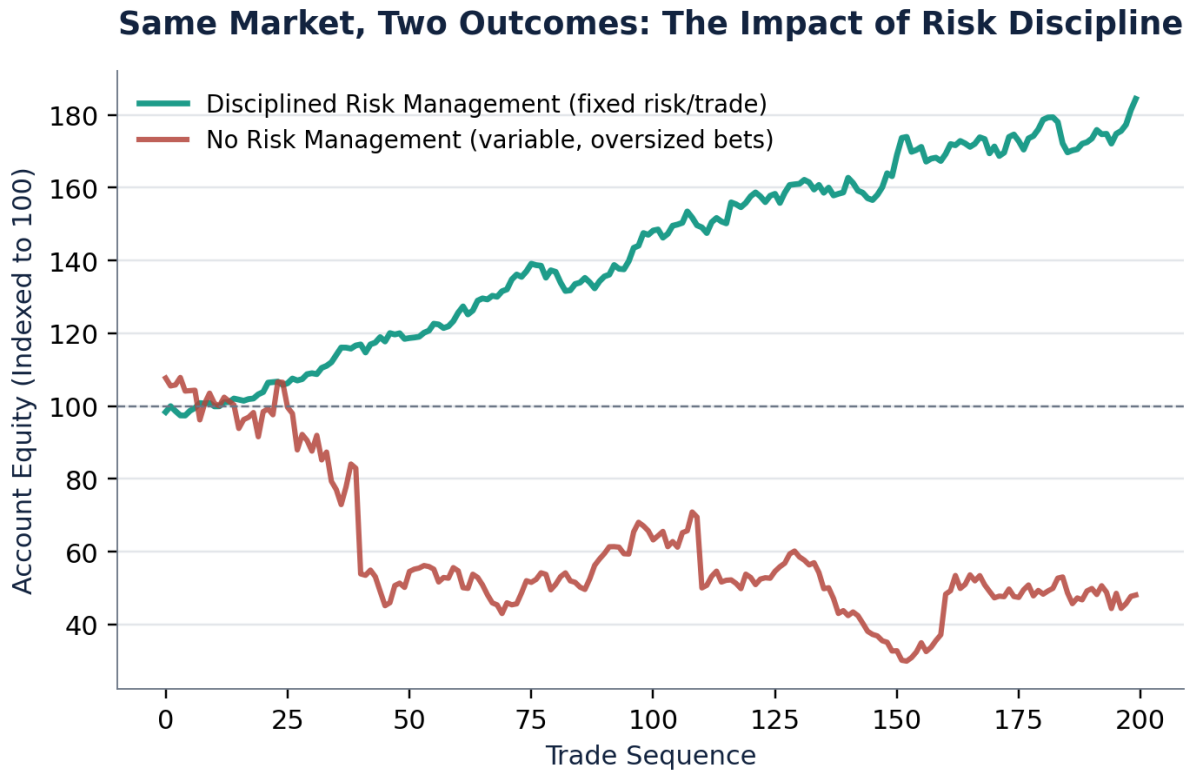


Figure 8.1 — Two traders, similar market conditions. The difference in outcome traces back to consistency of risk discipline, not prediction skill.

Revenge Trading

After a loss, especially an unexpected or painful one, there is a strong impulse to immediately re-enter the market to "win the money back." Trades taken from this impulse are rarely well-planned; they are driven by emotion rather than setup quality, and they frequently violate the trader's own position sizing and stop-loss rules. A simple defense is a mandatory pause — even fifteen minutes — after any loss before considering a new trade.

Overconfidence After Winning Streaks

A string of winning trades can feel like validation that the trader has "figured it out," leading to larger position sizes, wider stops, or trades taken outside the usual strategy. Winning streaks and losing streaks are both statistically normal outcomes of any strategy with a real edge — neither should change the risk

parameters that were working before the streak began.

Moving Stops and Hope-Based Holding

Widening a stop loss after a trade has moved against you, hoping the price will reverse before the new stop is hit, is one of the most common and most damaging behavioral errors. It converts a defined, planned loss into an undefined one, and it is the single behavior most responsible for turning ordinary losing trades into account-threatening ones.

Loss Aversion and Cutting Winners Short

The same emotional discomfort that causes traders to hold losers too long often causes them to exit winners too early, out of fear of "giving back" an unrealized gain. This directly undermines the risk-reward math from Chapter 5 — a strategy built around a 1:3 ratio only works if winning trades are actually allowed to reach their planned target.

Building Discipline Through Structure

Willpower is not a reliable long-term risk management strategy — structure is. Traders who consistently follow their rules tend to rely on external systems rather than in-the-moment self-control:

- Writing trading rules down in advance, including exact position sizing and stop-loss criteria, before emotions are involved.
- Using hard stop orders rather than mental stops, removing the moment of decision entirely.
- Keeping a trade journal that records not just outcomes but the reasoning and emotional state behind each trade.
- Setting daily or weekly loss limits that halt trading for the period once reached, regardless of how the trader feels about their remaining opportunities.

Chapter 9: Building Your Risk Management Plan

Everything covered so far becomes useful only when it is written down as a specific, personal set of rules that you follow on every trade. This chapter walks through building that plan step by step. Use the worksheet fields below to fill in your own numbers as you go — treat this as a working document, not just reading material.

Step 1 — Define Your Risk Capital

Total trading account size: \$

Amount I can genuinely afford to lose without financial or emotional strain: \$

Step 2 — Set Your Per-Trade Risk Percentage

Choose a fixed percentage of your account to risk on any single trade (commonly 0.5%–2%).

My risk per trade (%): My risk per trade in dollars: \$

Step 3 — Set Your Minimum Risk-Reward Ratio

Minimum risk-reward ratio I will accept before entering a trade (e.g., 1:2):

Step 4 — Define Your Stop-Loss Rules

My stop-loss method (structural / volatility-based / time-based):

Rule for adjusting stops (e.g., 'only trail in the direction of profit, never widen'):

Step 5 — Set Portfolio-Level Limits

Maximum total open risk across all positions at once (%):

Maximum number of correlated positions I will hold at once:

Step 6 — Set Your Circuit Breakers

Drawdown level at which I will cut position size in half (%):

Drawdown level at which I will stop trading and review my process (%):

Daily / weekly loss limit at which I will stop trading for the period:

Step 7 — Trade Journal Template

Log every trade using a consistent format. Over time, this log becomes the most valuable tool you have for identifying whether your actual results match your plan.

Date	Instrument	Entry	Stop	Target	Risk %	R:R	Result	Followed Plan? (Y/N)

Photocopy or recreate this table for ongoing use — a single page rarely covers more than a week of active trading.

Step 8 — Weekly Review Questions

- Did I follow my position sizing rule on every trade this week?
- Were there any trades where I moved a stop loss against my own rules? What triggered that decision?
- What was my actual average risk-reward ratio this week, compared to my minimum standard?
- Did I hit any of my circuit breaker levels? Did I follow the associated rule?
- Is there a pattern in the trades where I broke my own rules — a time of day, an emotional state, a type of setup?

Chapter 10: Common Mistakes to Avoid

This chapter collects the most common and most costly risk management mistakes in one place, as a reference to return to periodically — most experienced traders can trace their worst losses back to one or more of these.

- 1 Sizing positions by conviction, not calculation**
Feeling very confident about a trade is not a valid input into position sizing. Confidence and correctness are not the same thing, and the trades that feel most certain are often the ones where oversized losses do the most damage.
- 2 Trading without a predetermined stop loss**
Entering a trade without knowing the exact price at which you will exit if wrong means your real risk is undefined until it is too late to matter.
- 3 Widening a stop after the trade moves against you**
This converts a planned, limited loss into an unplanned, potentially unlimited one, and is one of the fastest ways to turn a normal losing trade into a devastating one.
- 4 Increasing size after a losing streak to 'win it back'**
Revenge trading compounds risk exactly when a trader's judgment is most compromised by emotion.
- 5 Ignoring correlation between open positions**
Multiple 'diversified' positions that are actually correlated can produce a combined loss far larger than any single position's risk suggested.
- 6 Risking too much per trade relative to account size**
Even a strategy with a genuine statistical edge can be destroyed by an ordinary losing streak if risk per trade is too high, as shown in Chapter 7.
- 7 Not tracking real results against the trading plan**
Without a journal, it is nearly impossible to know whether your actual risk-reward ratio, win rate, and rule-following match what you believe them to be.
- 8 Trading with money that is not genuine risk capital**
Financial or emotional pressure from trading essential funds makes rational, rule-based decision-making significantly harder, regardless of skill.

CLOSING

Your Next Trade

Knowledge of risk management and the practice of it are two very different things. It is entirely possible to understand every concept in this book and still place a trade tomorrow without a calculated position size or a hard stop loss, simply because old habits are easier to fall back into than new ones are to build.

The measure of whether this book has worked is not whether you can recite the break-even win rate formula or explain risk of ruin. It is whether your very next trade has a defined risk, a calculated position size, a hard stop loss, and a risk-reward ratio you checked before entering. If it does, you are already doing something that separates you from the majority of traders who lose money not because they lacked a good strategy, but because they lacked a consistent process for protecting their capital while that strategy played out.

"Risk management is not about avoiding loss. It is about making sure no single loss, or streak of losses, can end the game before your edge has time to work."

Before you place your next trade, revisit the worksheet in Chapter 9 and fill in your own numbers if you have not already done so. Everything in this book is only useful once it becomes a rule you actually follow.

Worksheets & Quick Reference

Position Sizing Quick Formula

Formula

Position Size = (Account Size × Risk %) ÷ (Entry Price – Stop Price)

Break-Even Win Rate Formula

Formula

Break-Even Win Rate = Risk ÷ (Risk + Reward)

Drawdown Recovery Quick Reference

Loss	Gain Needed to Recover
-10%	+11%
-20%	+25%
-30%	+43%
-40%	+67%
-50%	+100%
-60%	+150%
-70%	+233%

Personal Risk Management Rules — One-Page Summary

Max risk per trade (%): _____ Min risk-reward ratio: _____

Max total open portfolio risk (%): _____

Drawdown circuit breaker levels: _____

Daily / weekly loss limit: _____

Stop-loss rule (never move against position): _____